ELITE FOUR CAPITAL

Political Event & Relative-Value Desk

A Unified Tax Theory for Prediction-Market Trading

— and the strategy it implies

Synthesised from the leading practitioner authorities · July 2026

Educational — not tax advice. Adopt a position with a qualified CPA.

1. The theory in one page

There is **no IRS guidance** on how prediction-market event contracts are taxed. Practitioners therefore reason by analogy, and four regimes compete: gambling, capital gains, ordinary income, and the favourable Section 1256 (60/40) treatment. Reading the leading authorities together — Robert A. Green, CPA (GreenTraderTax) and Patrick Camuso, CPA (Camuso CPA, AICPA Digital Asset Tax Task Force) — a consistent centre of gravity emerges, which we adopt as the **Victory Road Position**:

- **Two steps, not one.** Gain is first *realised* under §1001 when you sell or settle a contract; its *character* is then decided separately, defaulting to the capital-asset rule of §1221.
- **Default to capital treatment.** These are transferable, secondary-tradable contracts held to profit from price/probability moves — the hallmarks of a capital asset. This is the most defensible position for regulated, financially-flavoured contracts, and it preserves full loss netting and indefinite carryforwards.
- **Respect the election-contract wrinkle.** The authorities agree that *sports*, *culture*, *and political* contracts sit closest to the wagering line. Our Ossoff book is precisely that category, so the capital position must be earned through conduct and documentation — not assumed.
- **Avoid the two poles.** Reject *gambling* treatment where possible (post-OBBBA it is punitive), and don't claim *§1256* as a default (it is aggressive and likely fails the statutory test).

Why it matters: on a $100,000 gain, the character question alone swings federal tax from about $37,000 (ordinary/gambling) to about $26,800 (§1256) — and the *loss* rules swing even harder. Getting character right, then trading and documenting to support it, is the whole game.

2. Why the answer is genuinely unsettled

As of mid-2026 the IRS has issued no revenue ruling, notice, or regulation addressing event contracts (Green, Apr 2026; Camuso, 2026). The Code was not written with binary, event-based markets in mind, so the contracts **do not map cleanly** onto securities, commodity futures, options, or wagering. Three forces sharpen the uncertainty:

- **Litigation & enforcement.** New Jersey litigation and an April 2026 New York Attorney-General action treat certain *sports and election* event contracts as gambling under state law. These are state and consumer-protection classifications — they do not control federal income-tax character, but they colour perception.
- **The swap problem.** The CFTC has described some event contracts as binary-option *swaps*, which could trigger the §1256(b)(2)(B) exclusion Congress wrote specifically to deny 60/40 treatment to such instruments.
- **OBBBA (2026).** The One Big Beautiful Bill Act amended §165(d) to cap wagering-loss deductions at **90%** and broadened what counts as a wagering loss — making the gambling bucket materially worse, and capable of taxing a break-even year.

3. The expert taxonomy — four regimes

The authorities converge on the same four candidates. The table summarises each; the columns after it explain the verdicts.

Regime	Legal hook	Rate feel	Loss rules	Verdict
Capital gains	§1221 (default)	LT 0/15/20% if held >1yr; else ordinary	Full netting; $3k/yr vs ordinary; carry	**Our default**

Regime	Legal hook	Rate feel	Loss rules	Verdict
			forward	
Ordinary / “other income”	Sch 1, line 8z	10–37%	No special break	Conservative, common
Section 1256	60/40 split	~26.8% blended (top)	3-yr carryback vs 1256 gains	**Aggressive; likely fails**
Gambling	§165(d)	Ordinary, + 90% loss cap	Losses ≤ winnings; no carryforward	**Avoid if possible**

Capital (§1221) — the practitioner default

Green: contracts are property, not within any §1221 exclusion; they are assignable, have a basis and a disposition price, are entered to profit from probability changes, and can be sold before settlement — **all hallmarks of a capital asset**. Camuso frames it as §1001 realisation followed by §1221 character. Both note the practical catch: in a fast-trading book, most gains are **short-term** (taxed at ordinary rates) unless a position is deliberately held past a year.

Ordinary / “other income” — simple but unsupported

Widely used for convenience (report the net on Schedule 1). But Green is blunt: there is **no clear authority** forcing ordinary treatment, and a true “derivative/§475” position is hard to justify because the contracts lack notional principal, periodic payments, and a statutory mark-to-market. Reporting a net as “other income” is a practical choice, not a legal conclusion.

§1256 (60/40) — tempting, probably unavailable

A CFTC-regulated exchange (a Designated Contract Market) may be a “qualified board or exchange,” **but the contract itself must still meet the §1256 definition** — a regulated futures contract or listed non-equity option. Event contracts settle on binary outcomes, have no statutory mark-to-market, and may be caught by the swap exclusion. Green and Camuso agree: **aggressive, unsettled, not a default** — pursue only with formal analysis, Form 6781, and a willingness to defend it.

Gambling (§165(d)) — the pole to avoid

Conservative in spirit but punitive in effect: losses are limited to winnings, **only 90% deductible** from 2026, never carried forward, and often trapped behind the standard deduction. Camuso stresses gambling is **not the default** — where you acquire and dispose of transferable, priced contracts, property principles apply, not wagering rules.

4. The Victory Road Position (our synthesis)

From the above we adopt a single, internally consistent framework and — crucially — **trade and document to support it**:

- **Character follows substance and conduct, not the platform’s paperwork.** A 1099 (or its absence) does not decide treatment. We default to **capital-asset (§1221)** because our positions are transferable, secondary-traded, and held to profit from mispricing.
- **We earn the capital position through behaviour.** Actively buying and *selling before settlement* — which our trading thesis already prescribes (exit into the re-rating, don’t hold to resolution) — reinforces “transferable property held for speculation” and undercuts the “one-off wager” story. Election contracts need this support most.

- **Consistency and contemporaneous documentation.** Pick the position, apply it to every contract and every year, and keep a written rationale plus full records that would survive an exam years later (Green; Camuso).
- **Disclosure where warranted.** For any position more aggressive than plain capital treatment, consider a Form 8275 disclosure to reduce penalty exposure, on CPA advice.

5. What the character choice is worth

Rate, on a $50,000 gain (figures are federal, include 3.8% NIIT at the top bracket):

Treatment	Top bracket — keep	24% bracket — keep	Effective rate
Ordinary / gambling / short-term capital	$29,600	$38,000	40.8% / 24.0%
Section 1256 (60/40)	$34,700	$40,700	30.6% / 18.6%
Long-term capital (held >1 yr)	**$38,100**	**$42,500**	23.8% / 15.0%

Camuso's worked case agrees: a $100,000 gain costs ~$37,000 as ordinary income versus ~$26,800 under §1256 — about $10,200 saved, if the position holds.

Losses matter even more. Take a year with $30,000 of winners and $12,000 of losers:

Treatment	Taxable after losses	Note
Capital (§1221)	**$18,000**	Full netting; excess carries forward
Gambling (§165(d), OBBBA 90% cap)	$19,200	Only $10,800 of losses count; no carryforward

The extra tax from gambling's 10% haircut is small here, but the **structural** differences are large: gambling losses cannot exceed winnings, never carry forward, and are often lost behind the standard deduction — so a losing or break-even year can still be taxed. Capital treatment preserves losses indefinitely (Green's example: a $50k capital loss carries $47k forward to offset next year's gains).

6. The strategy this implies

1. Choose the venue for clean character, not just price. Kalshi is a CFTC-regulated DCM settling in USD, with limited 1099s — the cleaner record. Polymarket is offshore and settles in USDC, so every buy, sell, and payout is **also a taxable crypto-property disposal** with no forms at all. Favour Kalshi for the taxable book; use Polymarket only when its price edge clearly beats the added tax friction.

2. Trade in a way that supports capital character. Enter and exit on the secondary market before settlement. This is already our investment thesis (harvest the re-rating), and it doubles as the strongest evidence that these are traded property, not wagers.

3. Harvest losses — the wash-sale rule likely doesn't apply. §1091 covers "stock or securities"; event contracts treated as non-security property fall outside it (Green). You can realise a loss and re-enter the same position to bank the deduction without a 30-day wait. Use it to offset gains — but Green cautions against abusively recycling near-identical short-term positions, so keep it reasonable.

4. Run a holding-period barbell. Churn the tactical trades (short-term, ordinary-rate) but deliberately let one or two high-conviction positions ripen **past 12 months** to capture long-term rates — the single biggest legal rate cut available, if capital treatment holds. Weigh this against the 0%-yield lockup.

5. Time realisations around year-end. Defer winning exits into January; pull losing exits into the current year; net winners against losers within each year.

6. Keep exam-grade records — this is the compliance core. Export full transaction history; identify every acquisition, disposition, and settlement with basis and dates; reconcile to cash flows; retain for 7 years. **Kalshi exports values in cents** — divide by 100 or overstate P&L 100×. For Polymarket, track USDC cost basis per transaction.

7. Mind entity/TTS and estimates. Trader Tax Status and §475 mark-to-market apply to securities/commodities, not standalone event contracts, so don't assume them here. If gains are large, pay quarterly estimated taxes to avoid underpayment penalties.

7. Applied to the Ossoff book

Our contracts are **election/political** — the category the authorities flag as closest to wagering. That raises, not lowers, the importance of the plan above:

- Default to capital treatment, but **earn it**: trade the secondary market, exit before settlement, document the profit-motive and the research process (this desk, the models, the white papers).
- Prefer Kalshi for the nomination market where we can (recall it also priced ~2¢ richer — a real cost to weigh against cleaner tax and USD settlement).
- Harvest losses on losing legs to offset the winners; carry forward anything left.
- Be ready to defend against a gambling challenge — consistency and records are the defence.

8. Risk, disclosure, and the bottom line

This is a gray area. The honest hierarchy: **capital treatment is the most defensible and commonly used** for regulated, tradable contracts; **gambling is conservative but increasingly punitive**; **§1256 and pure-ordinary are uncertain**. Once you pick a reasonable, fact-based position, apply it consistently and document the rationale (Green). Given that our contracts are political and the dollars can be non-trivial, engage a specialist CPA — the authorities cited here (GreenTraderTax; Camuso CPA) do exactly this work — and consider Form 8275 disclosure for anything beyond plain capital treatment.

Prepared by Elite Four Capital as an educational synthesis of published practitioner positions. It is not tax advice, creates no advisor relationship, and does not reflect IRS guidance (none exists). Tax outcomes depend on your facts and state of residence. Consult a qualified CPA before filing.

Appendix — forms, checklist & sources

Where each position is reported

- **Capital:** Form 8949 → Schedule D. **§1256:** Form 6781 (mark-to-market year-end) → Schedule D. **Ordinary/other:** Schedule 1, line 8z. **Gambling:** winnings as other income; losses itemised on Schedule A (90% cap). **Aggressive positions:** Form 8275 disclosure.

Record-keeping checklist

- Full platform transaction export (Kalshi: convert cents → dollars).
- Per-contract acquisition, disposition/settlement, dates, basis, proceeds.
- For Polymarket: USDC cost basis and disposal for every trade (crypto-property events).
- Written statement of your chosen position and its rationale; retain 7 years.

Sources

Robert A. Green, CPA — “Prediction Market Taxes: Capital Gains, Gambling, or Something Else?”, GreenTraderTax, Apr 2026. · Patrick Camuso, CPA — “Kalshi Tax Reporting: What Your 1099 Leaves Out,” Camuso CPA, 2026, and related prediction-market analyses. · Monaco CPA and Keeper prediction-market tax guides, 2026. · CNBC, “Prediction markets are booming; how to tax winnings is anyone’s guess,” Dec 2025. · IRC §§1001, 1221, 1256, 165(d), 1091; OBBBA (2025).